had such high dividend yields. I spent a few days studying Knightsbridge and the oil shipping business.[6]

When Knightsbridge was formed a few years ago, it ordered a few oil tankers from a Korean shipyard. Buying a very large crude carrier (VLCC) or Suezmax will set you back about $60 to $80 million. It usually takes two to three years to get a new one after you order it. After receiving these tankers, Knightsbridge delivered them to Shell Oil under long-term leases. The deal was that Shell would pay Knightsbridge a base lease rate (say $10,000 a day per tanker) regardless of whether it used them or not. On top of that, Shell paid Knightsbridge a percentage of the difference between a base rate and the spot market price for VLCC rentals.

For example, if the spot price for a VLCC was $30,000 per day, Knightsbridge might collect $20,000 a day. If the spot was $50,000 a day, it would collect say $35,000 a day, and so on. At the base rate, Knightsbridge pretty much covered its principal and interest payments for the debt it took on to pay for the tankers. As the rates went above $10,000, there was positive cash flow; the company was set up to just dividend all the excess cash out to shareholders, which is marvelous. I wish all public companies did that.

Because of this unusual structure and contract, when tanker rates go up dramatically, this company's dividends go through the roof. This happened in 2001 when tanker rates, which are normally $20,000 to $30,000 a day, went to $80,000 a day. Knightsbridge was making astronomical profits at the time, and the dividend yield went through the roof. But, of course, it was not durable or sustainable.

That's why the stock didn't jump up significantly. Tanker rates can be very volatile. At the time I studied Knightsbridge, I also took a look at half a dozen other publicly traded pure plays in oil shipping. Since the dividend could go to zero, Knightsbridge was an easy pass.

In investing, all knowledge is cumulative. I didn't invest in Knightsbridge, but I did get a decent handle on the crude oil shipping business. In 2001, we had an interesting situation take place with one of these oil shipping companies called Frontline. Frontline is the exact